Human Resources

Exam code: 9BS0

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An introduction to human resources

- In common with all resources, a business's **employees** — its human resources — need to be managed
- Staff costs can make up a large proportion of a business's costs, so **objective monitoring** of employee performance is a key element of effective **financial** and **operational control**
- Businesses commonly monitor the following **human resources metrics**:
  - Labour productivity
  - Labour turnover
  - Labour retention
  - Absenteeism

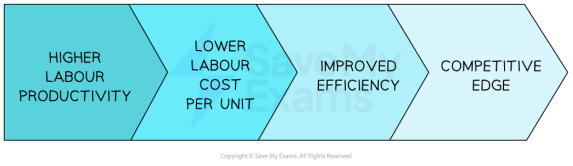
Labour productivity

- Labour productivity is a measure of **output per employee**
- It is calculated using the formula

$$\text{Labour Productivity} = \frac{\text{Total Output}}{\text{Average number of employees}}$$

- Figures used in this formula are for a **specific time period** (e.g. a week, month or year)
- Businesses aim to **increase the level** of labour productivity to **improve competitiveness**

Labour productivity and competitiveness



Higher labour productivity improves businesses' competitiveness

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Last year, *Marinka Homewares* made 424,000 lava lamps with a production workforce of 350 employees. This year, it forecasts that 480,000 lava lamps will be made with a production workforce of 365 employees.

Calculate the percentage increase in annual labour productivity per worker between last year and this year's forecast.

(4)

Step 1: Apply the labour productivity formula to calculate the labour productivity for both years

$$\text{Labour Productivity last year} = \frac{424{,}000}{350} = 1{,}211 \text{ units per employee}$$

$$\text{Labour Productivity last year} = \frac{480{,}000}{365} = 1{,}315 \text{ units per employee}$$

(2)

Step 2: Calculate the percentage increase between last year and this year

$$= \frac{(1{,}315 - 1{,}211)}{1{,}211} \times 100$$ (2)

$$= 8.59\%$$

Help me understand

Labour turnover and retention

- Labour turnover measures the **proportion of employees leaving a business** during a **specific time period**
- It is expressed as a percentage and is calculated using the formula

$$\text{Labour Turnover} = \frac{\text{Number of Staff Leaving}}{\text{Average Number of Staff}} \times 100$$

- A rising rate of labour turnover can signal **internal human resource management problems**, such as:
  - **Poor management**, leading to workers losing commitment
  - A **poor recruitment and selection** approach, leading to staff leaving soon after starting their job
  - **Low wage levels** compared to those that could be earned elsewhere
- **External factors** can also increase labour turnover in a business
  - A buoyant local economy in which **workers are attracted to employment opportunities elsewhere**
  - Improved **transport links** that provide an opportunity for workers to seek work across a **wider geographical area**

Consequences of high labour turnover

Problems	Opportunities

• Increased induction and **training costs** • Lower productivity levels as workers settle into new roles	• New ideas and creativity introduced to the business • New perspective and approaches to problem-solving can **improve business performance**

Worked Example

In 2022, *Domus Construction Ltd* employed an average of 7,200 workers, six per cent of whom worked at the head office.

During 2022, fifty-four head office employees left the business.

Calculate the labour turnover of Domus Construction's head office in 2022.

(3)

Step 1: Calculate the number of head office workers

$$= 0.06 \times 7{,}200$$

(1)

$$= 432 \text{ workers}$$

Step 2: Apply the labour turnover formula

$$\text{Labour turnover} = \frac{\text{Number of staff leaving}}{\text{Average number of staff}} \times 100$$

(1)

$$= \frac{54}{432} \times 100$$

$$= 12.5\%$$

Labour retention

- Labour retention measures the **proportion of employees remaining with a business** during a **specific time period**
- It is expressed as a percentage and is calculated using the formula

$$\text{Labour Retention} = \frac{\text{Number of Staff Remaining}}{\text{Average Number of Staff}} \times 100$$

- **A high level** of labour retention means that **few staff are leaving** the business during a given period

Worked Example

Calculate the University of West Surrey's staff retention rate in 2022.

(2)

Step 1: Calculate the number of employees not leaving

$$= 4{,}240 - 265$$

(1)

$$= 3{,}975$$

Step 2: Calculate the retention rate using the formula

$$\text{Labour Retention} = \frac{\text{Number of Staff Remaining}}{\text{Average Number of Staff}} \times 100$$

(1)

$$= \frac{3{,}975}{4{,}240} \times 100$$

$$= 93.75\%$$

Absenteeism

- The absenteeism rate is a measure of the **proportion of staff who were absent from work** during a **specific period of time** (e.g. a day, week or month)
- It is expressed as a percentage and is calculated using the formula

$$\text{Absenteeism rate} = \frac{\text{Number of staff absent}}{\text{Number of staff employed}} \times 100$$

- **High levels** of absenteeism can cause several problems for a business, including:
  - Absence due to illness requires sick pay to be paid
  - Hiring temporary staff to cover for those absent **increases costs**
  - Output is likely to be temporarily reduced if staff are key to the production process
  - Other staff may become **demotivated** if they have to constantly cover for absent workers
  - A wider **culture of absenteeism** may develop

Worked Example

On January 16, twenty-two of *Belling Stoneworks Ltd's* 189 employees were absent.

Calculate Belling Stoneworks Ltd's absenteeism rate on January 16.

(2)

Step 1: Substitute the values into the formula

$$= \frac{22}{189} \times 100$$

$$= 11.64\%$$

Human resources strategies to improve employee performance

- **Raising the labour productivity rate**, as well as **reducing staff turnover and absenteeism** rates, are key **human resource management objectives**
  - Increased labour productivity will **lower the labour cost per unit** and contribute to **improved competitiveness**
  - **More output** will be produced, so there is more output to sell — potentially **increasing revenue**
  - Money is saved on **recruitment, selection and training costs**, and a positive **group spirit** may emerge

Strategies to improve employee performance

Strategy	Explanation

Offering financial rewards	• Examples of financial rewards include:
	  ○ Increased pay rates
	  ○ Profit-sharing schemes
	  ○ Bonuses and commissions
	  ○ Performance-related pay
	  ○ Attendance rewards
	  ○ Loyalty bonuses
	• Paying workers more or sharing profits may **increase commitment** and effort, leading to **higher output and productivity**
	• If financial rewards are greater than those of other employers, **staff are less likely to want to leave**
	• Bonuses and commissions are only paid when they have been earned or if **targets have been met**
	• Attendance and loyalty rewards may improve the intrinsic **motivation** of workers as they feel valued

	achieving objectives • Employees who own shares in the business may **work harder and take less time off** as they have a **financial stake** in the success of the business
Consultation	• Consultation involves managers **obtaining the views of employees** when making decisions • Workers are likely to feel **more involved** within the business and may be **less likely to take days off** work or **leave the business**
Empowerment	• Empowerment involves providing employees with **autonomy and responsibility** to make their own decisions and work on their own behalf • Employee are encouraged to make use of their own **knowledge** and **experience** and develop their own **solutions** • Workers must be **properly trained** and equipped with the **necessary resources** to be properly empowered • Leaders need to be **prepared to hand over authority** and focus on providing encouragement praise and **feedback**

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